



AI Action Plan Priority Recommendations

AutogenAI

1460 Broadway, Floor 7, New York, NY, 10036

For More Information Contact:

Dr. Mitchell Sipus, Chief Solution Architect



This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.



Table of Contents

About AutogenAI	1
Executive Summary	2
AI Tax Incentives to Strengthen Economic Growth	3
Leverage 5 Eyes Community for AI Innovation in National Security	6
AI for Rapid Adoption of Best Capabilities	7
Secure AI in US Markets with a “FedRamp Rapid AI – ATO” standard	8
Conclusion & Call to Action	11

About AutogenAI

AutogenAI is at the forefront of artificial intelligence (AI) innovation in the United States, pioneering advanced natural language processing (NLP) solutions that empower businesses, government agencies, and enterprises to maximize efficiency, enhance decision-making, and drive economic growth. As an American company, AutogenAI is committed to strengthening U.S. technological leadership in AI while ensuring responsible and ethical deployment of AI systems in alignment with national priorities.

AutogenAI’s contributions to the U.S. economy are multifaceted, spanning workforce productivity, government efficiency, national security, and AI research. The company’s AI-driven content generation and augmentation technologies enable organizations to scale knowledge work, reducing operational costs and increasing competitiveness. By enhancing document generation, analysis, and decision-support processes, AutogenAI equips businesses to remain agile in an increasingly data-driven world.

Executive Summary

At AutogenAI, we understand Artificial Intelligence (AI) is at the heart of global economic growth, national security, and technological innovation. To maintain U.S. leadership in AI, the government must modernize tax policies, streamline compliance regulations, and accelerate AI adoption across industries. Currently, restrictive tax codes, burdensome compliance frameworks, and slow security authorization processes hamper AI innovation, particularly for startups, small businesses, and companies supporting the Defense Industrial Base (DIB). The Authority to Operate (ATO) requirements under CMMC and FedRAMP create significant barriers to market entry, disproportionately impacting AI-driven businesses seeking to serve both government and commercial markets.

To enhance AI innovation, create high-value jobs, and strengthen national security, the U.S. must implement a multi-pronged strategy that:

1. **Restores Immediate R&D Expensing** – Eliminating outdated amortization rules will enable AI firms to reinvest capital into research, workforce expansion, and commercialization, ensuring the U.S. remains the global hub for AI advancement.
2. **Expands AI-Specific R&D Tax Credits** – Establishing incentives for AI startups, defense-related AI solutions, and compute infrastructure investments will ensure U.S. competitiveness in AI model development and deployment.
 - a. This includes **Strengthening AI Commercialization of University Research** – Creating tax benefits for companies that invest in, license, or integrate university AI research into government and industry applications will bridge the gap between academic breakthroughs and real-world impact.
3. **Incentivizes AI Investment from Trusted 5 Eyes Partners** – Providing tax credits, fast-track programs, and reduced corporate tax rates will encourage trusted foreign AI firms to establish U.S. operations, bolstering economic and technological collaboration.
4. **Asserts the Value of AI Writing in Proposals and Procurement** – Accelerating the speed of the US government in all business operations is to the benefit of the private sector.
5. **Accelerates AI Security Compliance with a ‘FedRAMP Rapid ATO’** – A streamlined security authorization process will allow AI firms to quickly meet federal security requirements, facilitating faster AI adoption in defense, healthcare, finance, and critical infrastructure.

By embracing AI in government contracting, modernizing ATO processes, and expanding AI investment incentives, the U.S. can outpace global competitors, foster economic expansion across multiple industries, and solidify AI as a cornerstone of national security and economic prosperity.

AI Tax Incentives to Strengthen Economic Growth

1. Restore Immediate Expensing of R&D Costs to Strengthen AI Leadership

Restoring immediate expense of R&D costs under IRS §174 is essential for maintaining U.S. dominance in AI innovation, national security, and global economic competition. AI companies require high upfront capital investment in talent, computing power, and research. By eliminating amortization requirements and allowing full expensing of R&D costs, the U.S. can:

- Increase cash flow for AI firms, enabling them to scale operations faster, reinvest in cutting-edge AI models, and accelerate innovation.
- Incentivize AI firms to hire and retain U.S.-based technical talent, reducing the need to offshore jobs to countries with more favorable tax policies.
- Encourage private-sector and government AI partnerships, fostering AI solutions for national security, cybersecurity, healthcare, and federal contracting.
- Position the U.S. as the global hub for AI investment, ensuring that AI research, intellectual property, and economic benefits remain within trusted allies.

2. Expand AI-Specific R&D Tax Credits for Companies at All Stages of Growth

While existing R&D tax credits help offset development costs, they often favor large corporations with significant tax liabilities. To foster a thriving AI ecosystem, the U.S. should introduce AI-specific R&D tax credits that:

- Apply to companies at any stage of growth—including startups, mid-sized firms, and established enterprises—to ensure that tax incentives benefit the entire AI sector.

- Provide additional tax benefits for companies developing AI for national security applications, incentivizing investment in AI solutions for defense, cybersecurity, and public-sector efficiency.
- Increase tax credits for AI-related compute infrastructure investments, ensuring that AI firms can access the necessary chips, cloud resources, and supercomputing power without being hindered by high costs.
- Create a "First-to-Market" AI Tax Credit, rewarding U.S.-based AI companies that develop breakthrough AI models and bring them to market before international competitors.

3. Incentivize AI Companies from 5 Eyes International Community to Operate in the U.S.

Attracting foreign AI firms from trusted allied nations, such as those in the 5 Eyes intelligence alliance (U.S., UK, Canada, Australia, and New Zealand), would increase AI investment, create high-paying jobs, and strengthen technological collaboration. To make the U.S. the most attractive destination for AI businesses worldwide, policymakers should:

- Offer foreign AI firms a "U.S. AI Business Investment Credit", providing up to 20% tax relief for AI companies that establish headquarters, research facilities, or regional offices in the U.S.
- Provide a fast-track tax incentive program for foreign AI companies that relocate their AI development teams to the U.S., ensuring that AI jobs and IP remain within trusted economic alliances.
- Reduce corporate tax rates for AI businesses that reinvest profits in U.S.-based AI development, reinforcing long-term innovation and economic growth.
- Create a "U.S. AI Infrastructure Incentive" to encourage foreign AI firms to build or co-invest in U.S.-based AI data centers, semiconductor manufacturing, and AI research hubs.

4. Establish AI Tax Incentives for Secure AI Development and Compliance

As AI becomes more integral to national security and critical industries, tax incentives should reward companies that meet rigorous security and compliance standards. This could include:

- Tax credits for AI companies that implement advanced cybersecurity measures to protect AI models, datasets, and government applications from adversarial threats.
- R&D expensing for companies that adhere to AI safety and ethics guidelines, ensuring responsible AI deployment in healthcare, defense, and finance.
- Tax deductions for AI startups that invest in compliance with U.S. data security regulations, ensuring AI innovation aligns with national security priorities.
- To accelerate AI-driven innovation and economic growth, the U.S. should eliminate taxes on venture capital (VC) funding for early-stage AI companies generating less than \$2 million in annual revenue. AI startups face significant capital-intensive requirements, including high computing costs, R&D investments, and regulatory compliance burdens, making early funding critical for survival and scaling. Taxing venture capital raised—before profitability—is a major disincentive to investment and restricts the ability of U.S. AI startups to compete with better-funded foreign competitors.
- To support **job creation and economic growth**, the U.S. should implement a targeted tax credit program for AI companies whose work leads to significant employment expansion. While AI is often associated with automation, AI-driven businesses create high-value jobs across multiple industries, including software engineering, data science, cybersecurity, defense, healthcare, and financial services. A tax incentive tied to employment growth will encourage AI firms to expand their workforce, invest in talent development, and drive long-term economic prosperity.

5. Incentivize AI Companies to Commercialize University Research and Fund Academic AI Innovation

Universities serve as foundational research hubs for AI breakthroughs, but technology transfer from academia to industry is often slow and underfunded. To accelerate AI commercialization, the U.S. should introduce tax benefits for AI companies that collaborate with universities and make their technology available to the government through SBIR (Small Business Innovation Research) and STTR (Small Business Technology Transfer) programs.

Proposed incentives include:

- A "University AI Commercialization Credit" that provides tax benefits for companies licensing AI research from U.S. universities and turning it into commercial products or government applications.

- Increased R&D tax deductions for companies funding university-led AI research, particularly in fields like AI ethics, autonomous systems, and AI for national security.
- A "Government AI Transfer Incentive", offering tax reductions for businesses that integrate university-developed AI technology into federal programs, defense applications, and public-sector AI projects.
- Preferential tax treatment for AI firms engaging in SBIR/STTR contracts, ensuring that small businesses working with government-backed research receive enhanced tax credits and expedited funding opportunities.

By aligning industry, academia, and government AI initiatives, the U.S. can accelerate AI innovation, strengthen national security applications, and maintain global AI leadership.

Leverage 5 Eyes Community for AI Innovation in National Security

Strengthening U.S.-UK AI Cooperation for National Security and Economic Growth

AutogenAI, an American company with origins in the United Kingdom, embodies the potential of cross-border AI collaboration between trusted allies. Born from research conducted by Google DeepMind in London, AutogenAI is a prime example of how the U.S. and UK can leverage each other's strengths to drive cutting-edge AI innovation. Given the UK's role as a founding member of the 5 Eyes intelligence alliance, prioritizing AI collaboration with allies who share the same security priorities, democratic values, and economic goals is crucial. In contrast, engaging with competitors who do not align with U.S. security interests introduces risks related to IP theft, cybersecurity vulnerabilities, and strategic dependencies on adversarial nations.

Establish a 5 Eyes AI Cooperation Framework

A 5 Eyes AI Cooperation Framework would streamline procurement, accelerate security reviews, and facilitate AI model sharing between trusted allied nations. Prioritizing AI-driven businesses from 5 Eyes countries (U.S., UK, Canada, Australia, and New

Zealand) in government contracting and R&D funding would achieve the following benefits:

- Ensure secure and responsible AI deployment, reinforcing trust in AI solutions that meet strict security and ethical standards.
- Give 5 Eyes AI companies a competitive advantage in U.S. government procurement, allowing them to scale quickly and contribute to national security priorities.
- Reduce reliance on AI technologies from adversarial nations, preventing potential backdoors, data vulnerabilities, and foreign influence over critical infrastructure.
- Strengthen defense and intelligence capabilities, improving the ability of 5 Eyes nations to coordinate cybersecurity efforts, counter AI-driven threats, and enhance interoperability across military and intelligence agencies.

By fast-tracking AI adoption from 5 Eyes businesses, the U.S. can enhance national security, accelerate AI integration in government applications, and ensure that economic growth is shared among trusted allies. Aligning regulatory, procurement, and AI certification standards across 5 Eyes nations would further remove barriers to collaboration, allowing allied AI companies to develop mutually beneficial innovations in defense, cybersecurity, and advanced computing.

AI for Rapid Adoption of Best Capabilities

Encourage AI in Proposal Writing and Contracting, Not Restrict It: AI increases efficiency, improves accuracy, and levels the playing field for small businesses bidding on government contracts. The integration of AI into proposal writing streamlines the process, enabling quicker submissions and ensuring proposals are consistent and accurate. This technological advancement is particularly beneficial for small businesses, which often lack the resources of larger companies. By automating repetitive tasks and intelligently analyzing data, AI tools help small enterprises produce high-quality proposals that can compete effectively against bigger players.

Banning or restricting AI in proposals would disproportionately benefit large incumbents, while stifling innovation. Large companies typically have more extensive resources and can manage without AI, whereas smaller businesses rely on AI to mitigate resource disparities. Restricting AI use in proposal writing would hinder the ability of small businesses to compete on an equal footing, potentially locking out innovative solutions and fresh perspectives that these smaller

entities bring to the table.

Recommendation: The U.S. should explicitly support AI-enhanced proposal writing, with guidelines to ensure compliance and fairness. By setting clear guidelines, the government can ensure that AI is used ethically and effectively, maintaining a level playing field and fostering an environment of fair competition. Such support would not only aid in the efficient handling of proposals but also in adhering to regulatory requirements and specific challenges of different sectors, thus enhancing the overall quality and relevance of government contract proposals.

Secure AI in US Markets with a “FedRamp Rapid AI – ATO” standard

How the "FedRAMP Rapid ATO" Would Work

A FedRAMP Rapid ATO for AI would establish a scalable, efficient security approval process that recognizes security equivalencies across the 5 Eyes alliance while ensuring compliance with U.S. federal security requirements. This program would reduce redundant security assessments, lower costs for AI firms, and expand AI-driven economic growth in both government and commercial markets.

1. Recognition of 5 Eyes AI Companies as Pre-Vetted Trusted Partners

- Automatically categorize AI companies from 5 Eyes nations as trusted vendors, significantly reducing security review burdens.
- Leverage existing security frameworks from allied nations (e.g., UK's Cyber Essentials, Canada's ITSG-33, Australia's IRAP) to pre-certify AI companies for FedRAMP, DoD ATO, and commercial cloud security approvals.

2. Pre-Approved AI Security Baselines for Rapid Authorization

- Develop a standardized "AI Security Control Baseline" to allow AI companies to meet both government and industry security standards with a single approval process.
- Implement a "Fast-Track Security Package" allowing AI firms to inherit FedRAMP controls from approved cloud service providers (AWS GovCloud, Microsoft Azure Government, Google Cloud for Government, etc.), reducing compliance costs and expediting security documentation.

3. AI-Specific Security Accreditation Pathway

- Create an AI-specific security tier system that distinguishes between national security-critical AI applications and commercial AI solutions, allowing for rapid approvals of AI technologies used in non-classified environments.
- Use AI-driven security automation and continuous monitoring to verify compliance in real-time, reducing the need for lengthy manual security assessments.

4. Government AI Security Testbeds for Pre-Certification

- Establish AI security testbeds across government, healthcare, and finance sectors, allowing AI companies to pre-certify models for deployment in highly regulated industries before submitting for full ATO approval.
- Leverage DoD's DevSecOps framework to integrate AI firms into pre-approved Continuous ATO (cATO) environments, allowing AI products to undergo iterative security validation in real-time.

5. Integration with the Defense Industrial Base (DIB) and Commercial Procurement Systems

- AI companies with "FedRAMP Rapid ATO" approval gain automatic eligibility for government and defense contracts, including programs like CMMC and DoD's SBIR/STTR initiatives.
- Create a dedicated "AI Marketplace" within FedRAMP, allowing government agencies, defense contractors, and commercial enterprises to procure pre-approved AI solutions instantly.

Benefits of a "FedRamp Rapid AI ATO" Across National Security and U.S. Commercial Markets

1. Faster Time to Market for AI Companies in All Industries

- Reduces security approval timelines from 12-24 months to 3-6 months, allowing AI-driven businesses to rapidly deploy solutions across government, defense, and private-sector industries.
- Encourages AI startups and mid-sized firms to scale faster, fostering a more competitive and innovative AI ecosystem in the U.S.

2. Strengthening National Security and Critical Infrastructure

- Ensures AI technologies from trusted 5 Eyes allies are deployed before adversarial nations can fill gaps in U.S. defense, cybersecurity, and intelligence capabilities.
- Accelerates AI integration into mission-critical operations, including autonomous systems, predictive logistics, and cybersecurity threat detection.
- Enhances AI-driven resilience in critical infrastructure sectors, such as power grids, transportation, financial systems, and emergency response networks.

3. Driving AI Innovation in the U.S. Financial and Healthcare Sectors

- Reduces compliance burdens for AI-driven financial technology firms, enabling faster AI adoption in fraud detection, risk analysis, and algorithmic trading.
- Accelerates AI approval for healthcare applications, such as AI-driven diagnostics, personalized medicine, and hospital automation, ensuring faster AI deployment in FDA-regulated environments.
- Encourages AI-powered cybersecurity advancements to protect sensitive financial and healthcare data, reducing vulnerabilities in these industries.

4. Lower Costs for AI Companies and Industry Sectors

- Eliminates redundant security assessments by recognizing existing security certifications from 5 Eyes nations, reducing compliance costs for AI firms.
- Allows AI firms to inherit pre-approved security controls, significantly lowering the cost of FedRAMP, DoD, and industry-specific security compliance.
- Saves government agencies and private-sector companies millions by leveraging a standardized AI security framework across multiple industries.

5. Expanding the AI Market and Creating High-Value U.S. Jobs

- Encourages U.S. startups to scale faster by providing a clear, cost-effective security approval pathway.
- Attracts foreign AI investment to the U.S., making the country the premier destination for AI-driven businesses from trusted allied nations.
- Strengthens economic ties between the U.S. and 5 Eyes nations, ensuring that AI research, intellectual property, and enterprise applications remain within trusted alliances.
- Creates thousands of high-paying AI-related jobs across industries, from defense and cybersecurity to finance and healthcare.

Conclusion & Call to Action

The U.S. government must act decisively to ensure AI **remains a competitive advantage** rather than a regulatory burden. The following actions are critical:

- **Restore Immediate Expensing of AI R&D** to allow AI firms to reinvest capital into innovation and talent.
- **Expand AI-Specific Tax Incentives** to foster AI growth at all company stages and across multiple industries.
- **Encourage AI Investment from 5 Eyes Partners** to attract trusted AI firms to U.S. markets, creating high-paying jobs and strengthening economic ties.
- **Implement a ‘FedRAMP Rapid ATO’** to accelerate AI security approvals, reducing time-to-market and fostering AI adoption in defense, healthcare, finance, and beyond.
- **Ensure AI is a Welcomed Contribution to Government Contracting** by supporting AI-enhanced proposal writing and procurement processes, particularly for small businesses.
- **Develop Clear AI Procurement Guidelines** to ensure compliance while **maintaining a level playing field** for AI adoption in federal markets.

The time to act is now. By implementing pro-innovation AI policies, modernized security authorizations, and strategic tax incentives, the U.S. will lead the global AI revolution, ensuring that AI innovation fuels national security, economic prosperity, and technological leadership for decades to come.

